

Firm Strategy and Industry Analysis

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Learning objectives

- Define **strategy** and separate **corporate** from **business** strategy.
- See how strategy rests on **internal and external** analysis.
- Analyze industry attractiveness with **Porter's Five Forces** — and what drives each force high or low.
- Understand what makes **international** strategy special.
- Balance **integration and responsiveness** — down to the task level.

What is strategy?

“A planned set of actions that managers employ to make best use of the firm’s **resources and core competencies** to gain **competitive advantage**.”

- Two questions sit inside every strategy: **where to compete** (which industries and markets) and **how to compete** (the competitive approach there).
- Watch: Michael Porter, [“What is strategy?”](#) — strategy is choosing to be *different*, not just better.

Two levels of firm strategy

Corporate strategy

Where to compete?

The scope of the firm — in which **industries and markets** should it operate? Diversification, vertical integration, entering or exiting countries.

Business strategy

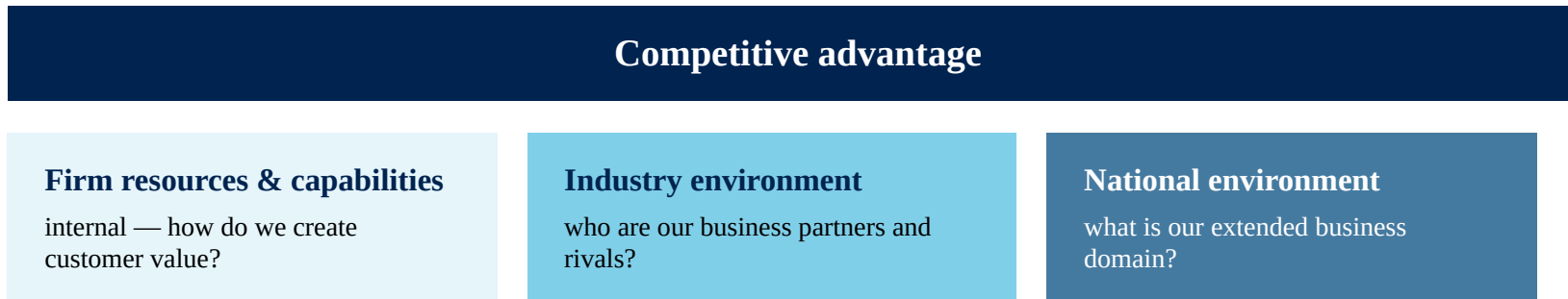
How to compete?

The competitive approach **within** an industry or market — cost leadership vs. differentiation, how to win customers against rivals.

- For the international firm both questions gain a geographic dimension: **which countries**, and **how to compete** in each.

Based on Grant, Contemporary Strategy Analysis (2010).

What is the basis for defining strategy?



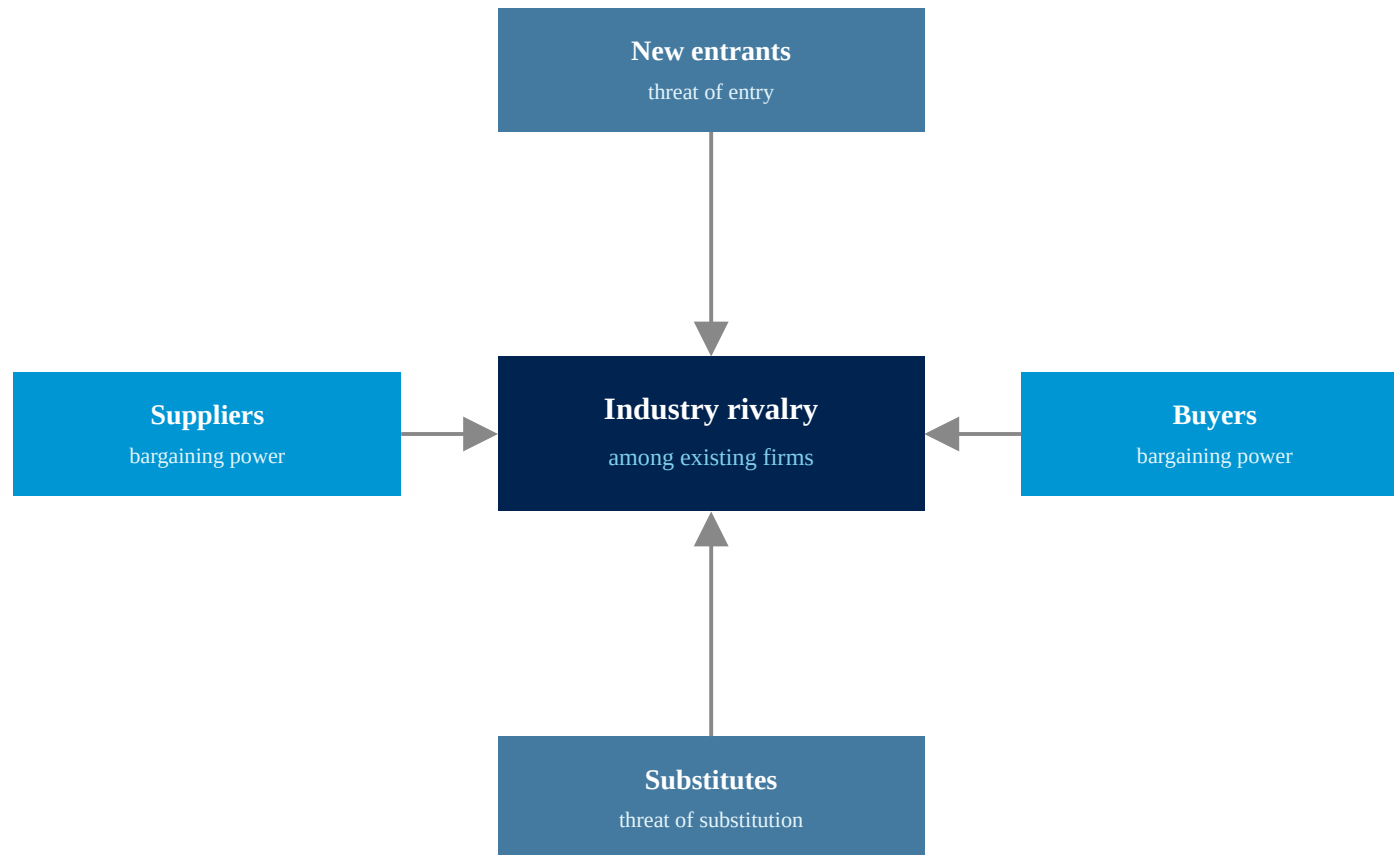
- Competitive advantage is built where the **firm's resources** meet the **industry** and **national** environments.
- So strategy definition always rests on **both internal and external analysis** — the two we develop today.

Based on Grant, Contemporary Strategy Analysis (2010).

Two tools for external analysis

- The external environment has two layers — and each has its own workhorse tool:
- **Macro environment** → **PEST(EL)**: political, economic, societal, technological (plus environmental and legal) forces. Broad, indirect, almost the same for everyone.
- **Industry (micro) environment** → **Porter's Five Forces**: the direct competitive forces that determine how profitable an industry is.
- Today we go deep on the second — the tool that explains **why some industries are far more profitable than others**.

Porter's Five Forces: analyzing industry attractiveness



- The five forces together set the **ceiling on industry profitability**.
- Strong forces squeeze profits; weak forces leave room to earn returns.
- Porter later added a **sixth**: complementary products and complementors.
- Internationally, each force gains a cross-border edge — foreign entrants, global suppliers, imports as substitutes.

Based on Porter (1996, 2008).

Force 1: rivalry among existing competitors

Rivalry shows up as price discounting, advertising battles and service one-upmanship — all of which limit profitability. What matters is its intensity and its basis (price vs. differentiation).

Rivalry is HIGH when...

- Low industry concentration (many similar-sized firms)
- Low product differentiation — buyers see substitutes
- High economies of scale and a high ratio of fixed to variable costs
- Slow industry growth — gains come only from rivals

Rivalry is LOW when...

- High industry concentration (a few dominant firms)
- High product differentiation and brand loyalty
- Low fixed-cost pressure to fill capacity
- Growing industry — everyone can expand

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Force 2: bargaining power of suppliers

Suppliers and buyers use bargaining power to capture a larger share of the value chain's total profit. First, the supplier side.

Supplier power is HIGH when...

- Few suppliers, each selling a high volume to the industry
- High switching costs and few appropriate substitutes for the input
- Highly differentiated inputs the buyer cannot easily replace
- Credible threat of forward integration by suppliers

Supplier power is LOW when...

- Many suppliers competing for the firm's purchases
- Low switching costs and readily available substitute inputs
- Undifferentiated, commodity inputs
- The industry is an important customer for suppliers

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Force 3: bargaining power of buyers

Now the buyer side of the value chain — the same logic, mirrored.

Buyer power is **HIGH** when...

- Few customers, each buying a high volume
- Low switching costs and many available substitutes
- Undifferentiated products — buyers can shop on price
- Credible threat of backward integration by buyers

Buyer power is **LOW** when...

- Many small customers, each buying little
- High switching costs and few substitutes
- Highly differentiated products buyers must have
- The product is a small share of the buyer's cost

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Forces 4 & 5: new entrants and substitutes

Threat of new entrants is HIGH when...

- Low capital costs to enter
- Low brand loyalty and low customer switching costs
- Open access to inputs and distribution channels
- No scale advantages held by incumbents

Incumbents spend (discounts, advertising) to deter entrants — which itself lowers profit.

Threat of substitutes is HIGH when...

- A substitute matches the industry's price and performance
- Buyers face low switching costs to the substitute
- The substitute improves quickly (better price–performance)
- Internationally: imports act as substitutes via exports

Substitutes outside the industry cap the price firms can charge.

Source: Campbell, Edgar & Stonehouse (2011); Grant (2008); Porter (2008).

Discussion: what is special about international strategy?

IN-CLASS DISCUSSION · 8 MINUTES

- 1 Take any framework so far — resources, Five Forces, PEST(EL).
- 2 What **changes** when the firm operates in many countries at once?
- 3 Are a firm's resources and capabilities **valuable in every market** — or only some?
- 4 Do the **competitive forces differ** across countries for the same industry?

Multinationality adds layers of analysis

- **Competitive advantage:** are the firm's resources and capabilities valuable in **all** markets — or bound to the home context?
- **Industry environment:** do the **competitive forces differ** across countries — different rivals, suppliers, buyer power?
- **National environment:** different **trends and challenges** across countries — institutions, culture, demand.
- → Multinationality does not replace the frameworks; it **multiplies** them, one layer per market.

Based on Grant, Contemporary Strategy Analysis (2010).

A firm's country of origin shapes its international strategy

- The **country of origin shapes the competitive advantages** an MNC carries abroad — its home institutions, factor conditions and demand.
- Firms differ in how they are **used to doing business** in a globalized world — and how they **cope with high-uncertainty** environments.
- They also sit at **different stages of the internationalization process** — from low value-adding to high value-adding activities abroad.
- *This is why a German Mittelstand exporter, a Chinese state-linked champion and a Silicon Valley platform internationalize so differently.*

MNCs face contradictory objectives

Efficiency

in international value chains — global scale and low cost

Flexibility

facing country-specific risks and opportunities

Learning

from global operations — and transferring it worldwide

Pressures for integration

standardize, centralize, exploit scale

Pressures for responsiveness

adapt to local needs and conditions

MNC strategy must balance the pressures for integration and responsiveness to achieve all three goals. Source: Ghoshal (1987); Bartlett & Ghoshal.

Discussion: the I/R framework in the FMCG industry

IN-CLASS DISCUSSION • 10 MINUTES • GROUPS

- 1 What pressures for **local responsiveness** shape the fast-moving consumer goods industry?
- 2 What competitive forces push it toward **global integration**?
- 3 How are **technology and competition** changing that balance right now?
- 4 Where would you place a firm like Unilever, Nestlé or Red Bull — and why?

Discussion: the I/R framework and McDonald's

IN-CLASS DISCUSSION • 10 MINUTES • GROUPS

- 1 What factors forced **McDonald's** to **reconsider** its integration/responsiveness balance?
- 2 How did McDonald's **react** to these industry pressures? (Think menu, sourcing, franchising, marketing.)
- 3 The McAloo Tikki in India, the McBaguette in France, vegetarian outlets near temples — integration or responsiveness?
- 4 Which Cavusgil strategy label fits McDonald's best — global, multidomestic or transnational?

The I/R framework applies at every level — down to the task

Industries

Some industries are inherently more integrated (aerospace), others more local (retail food)

Companies

Within an industry, firms pick different points on the I/R map

Functions

R&D may be integrated while marketing is highly responsive

Tasks

Even within a function, single tasks differ in their I/R pull

- The integration–responsiveness tension is **not decided once** for the whole firm — it is resolved activity by activity.
- Based on this analysis, MNCs **configure their value-chain activities** for the optimal use of resources — the bridge to the next session on strategy and structure.

Source: Bartlett (1985); Porter (1984).

Apply it: a Five-Forces verdict

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: judge an industry's attractiveness with the Five Forces, then add the international twist.

- 1 Choose an industry: airlines, smartphones, streaming, coffee shops or car making.
- 2 Rate each of the five forces **high** / **medium** / **low** — and name the single driver that sets each rating.
- 3 Verdict: is this an **attractive** industry to be in? Where does the profit leak out?
- 4 Add the international layer: which force changes most **across countries**?
- 5 One group presents; the class challenges the ratings.